

Well, that may be true, say the skeptics, but you have offered only five examples of focus investors, and five observations are not enough to draw a statistically meaningful conclusion. In an industry that has thousands of portfolio managers, these five success stories could have been completely random.

Fair enough. To eliminate any notion that the five superinvestors of Buffettville are nothing more than statistical aberrations, we need to examine a wider field. Unfortunately, the population of focus investors is very small. Among the thousands of portfolio managers who manage money, there are only a scant few who manage concentrated portfolios. Thus we are left with the same challenge.

We were faced with this same problem when I wrote *The Warren Buffett Portfolio: Mastering the Power of the Focus Investing Strategy* (John Wiley & Sons, 1999). There were simply not enough focus investors to study and draw a statistically meaningful conclusion. So what did we do? We went inside a statistical laboratory and designed a universe with 3,000 focus portfolios.³⁸

Using the Compustat database of common stock returns, we isolated 1,200 companies that displayed measurable data—including revenues, earnings, and return on equity. We then asked the computer to randomly assemble, from these 1,200 companies, 12,000 portfolios of various sizes, forming four portfolio groups:

1. Three thousand portfolios containing 250 stocks.
2. Three thousand portfolios containing 100 stocks.
3. Three thousand portfolios containing 50 stocks.
4. Three thousand portfolios containing 15 stocks—the focus portfolio group.

Next, we calculated the average annual return of each portfolio in each group over a 10-year period (1987–1996). Then we compared the returns of the four portfolio groups to the overall stock market (defined as the Standard & Poor's 500 index) for the same period.

- Among the portfolios containing 250 stocks, the standard deviation was 0.65 percent; the best portfolio returned 16.0 percent annually, and the worst was 11.4 percent.